

GOING FURTHER

COMMUNITY HOUSING CAPITAL, INC.

FINANCIAL REPORT

SEPTEMBER 30, 2025

Contents

Independent Auditor's Report	1-2
Financial Statements	
Statements of financial position	3
Statements of activities	4-5
Statements of cash flows	6
Notes to financial statements	7-25
Supplementary Information	
Schedule of financial position by type	26
Schedule of activities by type	27
Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	28
Independent Auditor's Report on Compliance for Each Major Program and on Internal Control over Compliance Required by the Uniform Guidance	29-31
Schedule of Expenditures of Federal Awards	32
Notes to Schedule of Expenditures of Federal Awards	33
Schedule of Findings and Questioned Costs	34
Summary Schedule of Prior Audit Findings	35



Independent Auditor's Report

**To the Board of Directors
Community Housing Capital, Inc.
Decatur, Georgia**

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Community Housing Capital, Inc., (the "Organization") a nonprofit public benefit corporation, which comprise the statements of financial position as of September 30, 2025 and 2024, and the related statements of activities and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements present fairly, in all material respects, the financial position of Community Housing Capital, Inc. as of September 30, 2025 and 2024, and the changes in their net assets and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Community Housing Capital, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Community Housing Capital, Inc.'s ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Community Housing Capital, Inc.'s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Community Housing Capital, Inc.'s ability to continue as a going concern for a reasonable period of time.

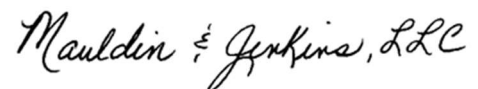
We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying supplementary information shown on pages 26 to 27 is presented for purposes of additional analysis and is not a required part of the financial statements. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 15, 2025, on our consideration of Community Housing Capital, Inc.'s internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Organization's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Community Housing Capital, Inc.'s internal control over financial reporting and compliance.



Atlanta, Georgia
December 15, 2025

COMMUNITY HOUSING CAPITAL, INC.

STATEMENTS OF FINANCIAL POSITION SEPTEMBER 30, 2025 AND 2024

<u>Assets</u>	<u>2025</u>	<u>2024</u>
Cash	\$ 10,588,795	\$ 10,949,143
Restricted cash - borrower funds held in trust	14,226,631	13,426,626
Cash and cash equivalents	24,815,426	24,375,769
Equity securities	817,600	780,700
Receivables		
Loans, net (recorded allowance of \$3,359,041 and \$4,578,488, respectively)	168,677,155	175,573,416
Interest	716,067	902,347
Origination and other fees	485,849	91,013
Grants	45,000	45,000
Premises and equipment, net	962,607	972,360
Prepaid expenses	69,423	63,015
Deferred debt costs, net	111,529	143,610
Other assets	-	400
Total assets	\$ 196,700,656	\$ 202,947,630
<u>Liabilities and Net Assets</u>		
Accounts payable and accrued expenses	\$ 5,071,545	\$ 1,848,620
Interest payable	506,113	513,185
Borrower funds held in trust	10,543,848	9,742,556
Notes payable	102,820,169	122,925,169
Allowance for credit losses for unfunded commitments	814,847	354,258
Total liabilities	119,756,522	135,383,788
Net assets:		
Without donor restrictions	50,430,070	41,259,778
With donor restrictions	26,514,064	26,304,064
Total net assets	76,944,134	67,563,842
Total liabilities and net assets	\$ 196,700,656	\$ 202,947,630

See Notes to Financial Statements.

STATEMENTS OF ACTIVITIES FOR THE YEARS ENDED SEPTEMBER 30, 2025 AND 2024

	2025		
	Without Donor Restrictions	With Donor Restrictions	Total
Revenue and support			
Interest income	\$ 12,259,376	\$ -	\$ 12,259,376
Loan origination fees and other income	1,185,863	-	1,185,863
Contributed grant revenue	2,500,000	800,000	3,300,000
New market tax credit revenue	1,000,000	-	1,000,000
Miscellaneous income	15,988	-	15,988
Net assets released from restriction	590,000	(590,000)	-
Total revenue and support	17,551,227	210,000	17,761,227
Expenses			
Program services:			
Personnel	2,530,282	-	2,530,282
Consultants and legal services	401,290	-	401,290
Travel and occupancy	237,581	-	237,581
Advertising and promotion	129,616	-	129,616
Conferences and meetings	44,784	-	44,784
Miscellaneous	1,409	-	1,409
Interest	3,793,906	-	3,793,906
Provision (credit) for credit losses	(764,066)	-	(764,066)
Foreclosed properties expense	1,301	-	1,301
	6,376,103	-	6,376,103
Supporting services:			
Personnel	1,486,039	-	1,486,039
Management and general	366,682	-	366,682
Audit and accounting	107,742	-	107,742
Depreciation	44,369	-	44,369
	2,004,832	-	2,004,832
Total expenses	8,380,935	-	8,380,935
Change in net assets	9,170,292	210,000	9,380,292
Net assets, beginning of year	41,259,778	26,304,064	67,563,842
Net assets, end of year	\$ 50,430,070	\$ 26,514,064	\$ 76,944,134

See Notes to Financial Statements.

STATEMENTS OF ACTIVITIES

FOR THE YEARS ENDED SEPTEMBER 30, 2025 AND 2024

	2024		
	Without Donor Restrictions	With Donor Restrictions	Total
Revenue and support			
Interest income	\$ 10,398,814	\$ -	\$ 10,398,814
Loan origination fees and other income	732,836	-	732,836
Contributed grant revenue	2,500,000	-	2,500,000
New market tax credit revenue	625,000	-	625,000
Miscellaneous income	2,000	-	2,000
Net assets released from restriction	2,476,265	(2,476,265)	-
Total revenue and support	16,734,915	(2,476,265)	14,258,650
Expenses			
Program services:			
Personnel	2,336,417	-	2,336,417
Consultants and legal services	200,320	-	200,320
Travel and occupancy	363,419	-	363,419
Advertising and promotion	49,234	-	49,234
Conferences and meetings	17,929	-	17,929
Miscellaneous	1,460	-	1,460
Interest	2,461,463	-	2,461,463
Provision for credit losses	1,661,337	-	1,661,337
Foreclosed properties expense	8,197	-	8,197
	7,099,776	-	7,099,776
Supporting services:			
Personnel	1,372,181	-	1,372,181
Management and general	353,097	-	353,097
Audit and accounting	155,767	-	155,767
Depreciation	26,117	-	26,117
	1,907,162	-	1,907,162
Total expenses	9,006,938	-	9,006,938
Change in net assets	7,727,977	(2,476,265)	5,251,712
Net assets, beginning of year	33,531,801	28,780,329	62,312,130
Net assets, end of year	<u>\$ 41,259,778</u>	<u>\$ 26,304,064</u>	<u>\$ 67,563,842</u>

See Notes to Financial Statements.

COMMUNITY HOUSING CAPITAL, INC.

STATEMENTS OF CASH FLOWS FOR THE YEARS ENDED SEPTEMBER 30, 2025 AND 2024

	2025	2024
OPERATING ACTIVITIES		
Change in net assets	\$ 9,380,292	\$ 5,251,712
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Depreciation	44,369	26,117
Provision (credit) for credit losses	(764,066)	1,661,337
(Increase) decrease in assets:		
Interest receivable	186,280	(369,390)
Prepaid expenses	(6,408)	(3,433)
Deferred debt costs	32,081	55,249
Origination and other fees receivable	(394,837)	109,712
Other assets	400	-
Increase (decrease) in liabilities:		
Accounts payable and accrued expenses	3,222,925	228,485
Interest payable	(7,072)	246,965
Borrower funds held in trust	801,292	4,354,631
Net cash provided by operating activities	12,495,256	11,561,385
INVESTING ACTIVITIES		
Increase in equity securities	(36,900)	(3,200)
Net decrease (increase) in loans	8,120,916	(41,936,684)
Purchase of premises and equipment	(34,615)	(83,498)
Net cash provided by (used in) investing activities	8,049,401	(42,023,382)
FINANCING ACTIVITIES		
Proceeds from notes payable	10,000,000	64,500,000
Repayment of notes payable	(30,105,000)	(25,788,875)
Net cash provided by (used in) financing activities	(20,105,000)	38,711,125
Net increase in cash and cash equivalents	439,657	8,249,128
Cash and cash equivalents, beginning of year	24,375,769	16,126,641
Cash and cash equivalents, end of year	\$ 24,815,426	\$ 24,375,769
Cash	\$ 10,588,795	\$ 10,949,143
Restricted cash - borrower funds held in trust	14,226,631	13,426,626
Cash and cash equivalents, end of year	\$ 24,815,426	\$ 24,375,769
SUPPLEMENTARY INFORMATION		
Cash paid for interest	\$ 3,800,978	\$ 2,214,498

See Notes to Financial Statements.

NOTES TO FINANCIAL STATEMENTS

NOTE 1. NATURE OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES

Nature of Organization

Community Housing Capital, Inc. (CHC) was incorporated in California on November 7, 2000 and is a not-for-profit corporation that combines private and public capital to make loans to NeighborWorks® network organizations. NeighborWorks® is a national network of local not-for-profit affordable housing organizations.

CHC's mission is to provide equitable access to capital that is transformative for NeighborWorks organizations and their communities and was incorporated to develop and enhance the social, economic, and charitable welfare of under-served residents of inner-city neighborhoods, as well as suburban and rural communities across the country. CHC's target market is designated as the low to moderate-income population and workforce within communities across the nation as defined by its Community Development Financial Institution (CDFI) certification. CHC reaches this target market exclusively through the NeighborWorks® network organization customer base.

CHC provides primarily single-family, multifamily, and interim real estate acquisition, construction and development financing to NeighborWorks® network organizations. With respect to development services, CHC also provides technical assistance to NeighborWorks® network organizations seeking financing.

Basis of Presentation

The financial statements have been prepared on the accrual basis of accounting, which recognizes income in the period earned and expenses when incurred, regardless of the timing of payments.

Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP) requires management to make estimates and assumptions that affect certain reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual results could differ from those estimates.

Cash and Cash Equivalents

Cash is defined as cash in demand deposit accounts as well as cash on hand. Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash. CHC maintains its cash in bank deposit accounts which, at times, may exceed federally insured limits. CHC has not experienced any losses in such accounts. CHC believes it is not exposed to any significant credit risk on cash.

Revenue Recognition and Donor-Imposed Restrictions

In accordance with ASC 958-605, *Accounting for Contributions Received and Contributions Made*, unconditional promises to give cash and other assets are reported at fair value at the date the promise is received. All contributions and investment income are available for use without donor restriction unless specifically restricted by the donor. Amounts received that are designated for future periods or restricted by the donor for specific purposes are reported as net assets with donor restriction support that increases the net asset class. Conditional promises to give are not recognized until they become unconditional; that is, when the conditions on which they depend are substantially met. Contributions received are recorded as with or without donor restriction support, depending on the existence and/or nature of any donor restrictions.

NOTE 1.**NATURE OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)****Revenue Recognition and Donor-Imposed Restrictions (Continued)**

Support that is restricted by the donor is reported as an increase in net assets without donor restrictions if the restriction expires in the reporting period in which the support is recognized. All other donor-restricted support is reported as an increase in net assets with donor restrictions, depending on the nature of the restriction. When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions.

Capital grants received from NeighborWorks® America are presented in a manner consistent with GAAP and the grantor's grant agreement as without donor restriction after first use or with donor restriction grant funds. Adjustments to the aggregate Capital Fund balance are only made with the consent of the grantor. The supplemental schedules: Financial Position by Type (page 28) and Activities by Type (page 29) provide detail reconciliations of NeighborWorks® America Capital Fund grants.

Capital grants are recognized as revenue, as allowed by generally accepted accounting principles, as soon as significant grant conditions are met.

Equity Securities

CHC is a member of the Federal Home Loan Bank system and is required to maintain an investment in the capital stock of the Federal Home Loan Bank of Atlanta (FHLB). Based on redemption provisions, this stock has no quoted market value and is carried at cost. At its discretion, the FHLB may declare dividends on the stock. Management reviews for impairment based on the ultimate recoverability of the cost basis in the stock. As of September 30, 2025 and 2024, the cost basis of these securities is \$808,100 and \$775,200, respectively, and no impairment has been recognized.

CHC holds a non-controlling interest (0.01%) in sub CDE entities, acquired in 2022 and 2024, related to the new market tax credits. As of September 30, 2025 and 2024, the cost basis of the securities are \$9,500 and \$5,500, respectively, and no impairment has been recognized.

Loans Receivable

Loans receivable consist of interim, permanent, and other direct loans made to NeighborWorks® network organizations and are carried at their outstanding principal balances, net of an allowance for credit losses. Interest income is accrued on the principal balance. Origination fees and costs are recognized immediately at the time the loan is originated. Management has the intent and ability to hold these loans for the foreseeable future or until maturity or payoff.

Accrual of interest is discontinued on loans that become past due 90 days or more and for which collateral is inadequate to cover principal and interest, or immediately if management believes, after considering economic and business conditions and collection efforts, that a borrower's financial condition is such that partial or full collection is doubtful. When a loan is placed on nonaccrual status, all previously accrued but uncollected interest is reversed against current period interest income. Future collections are applied first to principal and then to interest until such loans are brought current, at which time loans may be returned to accrual status.

NOTE 1.**NATURE OF ORGANIZATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)****Allowance for Credit Losses – Loans**

CHC adopted Accounting Standards Update (ASU) 2016-13, *Financial Instruments – Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments* effective October 1, 2023, which uses the current expected credit loss (CECL) model to determine the allowance for credit losses (ACL).

The CECL methodology recognizes lifetime expected credit losses immediately when a loan is originated or purchased. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of loans, excluding interest receivable, to present the net amount expected to be collected on the loans. Loans, or portions thereof, are charged off against the allowance when they are deemed uncollectible. Expected recoveries do not exceed the aggregate of amounts previously charged off and expected to be charged off.

Management estimates the allowance balance using relevant available information, from internal and external sources, relating to past events, current conditions and reasonable and supportable forecasts. Historical credit loss experience provides the basis for the estimation of expected credit losses. Adjustments to historical loss information are made for differences in current loan-specific risk characteristics such as differences in underwriting standards, portfolio mix, credit quality, or term, as well as for changes in macroeconomic conditions, such as changes in unemployment rates, property values or other relevant factors.

The allowance for credit losses is comprised of reserves measured on a collective (pool) basis based on a lifetime loss-rate model when similar risk characteristics exist. For purposes of determining the pool-basis reserve, representing all loans not assigned an individual reserve, loans are segregated by portfolio segment, then by class, to recognize differing risk profiles. Each class is assigned a historical loss rate. These historical loss rates are then modified to incorporate a reasonable and supportable forecast of future losses at the loan class level, as well as any necessary qualitative adjustments. These modified historical loss rates are multiplied by the outstanding principal balance of each loan to calculate a required reserve. The qualitative adjustments are utilized to address factors that are not present in historical loss rates and are otherwise unaccounted for in the quantitative process. Even though portions of the allowance may be allocated to specific loans, the entire allowance is available for any credit that, in management's judgment, should be charged off.

In the event that collection of principal becomes uncertain, CHC has policies in place to reverse accrued interest in a timely manner. Therefore, CHC has made a policy election to exclude accrued interest from the measurement of ACL. Accrued interest receivable on loans totaled \$716,067 and \$902,347 at September 30, 2025 and 2024, respectively, and was reported in interest receivable on the statements of financial position and is excluded from the estimate of credit losses.

Expected credit losses are estimated over the contractual term of the loans, adjusted for expected prepayments when appropriate. The contractual term excludes expected extensions, renewals and modifications unless the extension or renewal options are included in the original or modified contract at the reporting date and are not unconditionally cancellable by CHC.

Loans that do not share risk characteristics are evaluated on an individual basis. Loans evaluated individually are not also included in the collective evaluation. When management determines that foreclosure is probable or when the borrower is experiencing financial difficulty, and repayment is expected to be provided substantially through the operation or sale of the collateral, expected credit losses are based on the difference between the fair value of the collateral and the amortized cost basis of the asset as of the measurement date. Fair value is generally calculated based on the value of the underlying collateral less estimated selling costs.

NOTE 1.**SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)****Allowance for Credit Losses – Loans (Continued)***Off-Balance Sheet Credit Exposure*

CHC also has off-balance sheet financial instruments, which include unfunded loan commitments. CHC minimizes these risks through underwriting guidelines and prudent risk management techniques. For off-balance sheet instruments, the allowance for credit losses is calculated in accordance with Topic 326, representing expected credit losses over the contractual period for which CHC is exposed to credit risk resulting from a contractual obligation to extend credit. No allowance is recognized if CHC has the unconditional right to cancel the obligation. The allowance is reported as a component of other liabilities within the statements of financial position. Adjustments to the allowance for credit losses for unfunded commitments are reported in the statements of activities as a component of provision (credit) for credit losses expense. At September 30, 2025 and 2024, \$814,847 and \$354,258, respectively, in allowance for credit losses has been recognized on off-balance sheet financial instruments and reported in other liabilities.

Premises and Equipment

Premises and equipment is carried at cost less accumulated depreciation. CHC capitalizes significant purchases of fixed assets and all expenditures for repairs, maintenance, renewals and betterments that prolong the useful lives of assets. Depreciation is computed by the straight-line method over the estimated useful life of the assets which is 39 years for premises and 3 to 7 years for equipment.

Deferred Debt Costs

Deferred debt costs are costs relating to credit note payable agreements and are being amortized using the straight-line method over the life of the notes payable. Accounting Standards Update (ASU) No. 2015-03, *Presentation and Subsequent Measurement of Debt Issuance Costs Associated with Line-of-Credit Arrangements*, provides guidance that permits an entity to record debt issuance costs related to a line-of-credit or revolving-debt arrangements as an other asset, provided that the entity has a recognized debt liability for amount outstanding under the arrangement. Deferred debt costs are recorded in other assets for the years ended September 30, 2025 and 2024.

Transfers of Financial Assets

Transfers of financial assets are accounted for as sales when control over the assets has been surrendered. Control over transferred assets is deemed to be surrendered when (1) the assets have been isolated from CHC, (2) the transferee obtains the right (free of conditions that constrain it from taking advantage of that right) to pledge or exchange the transferred assets, and (3) CHC does not maintain effective control over the transferred assets through an agreement to repurchase them before maturity. As of September 30, 2025, and 2024, all of CHC's loan participation arrangements, for which CHC retains the servicing, qualify as sales of financial assets, and each is sold on a nonrecourse basis.

Income Taxes

CHC qualifies as a charitable organization as defined by Internal Revenue Code Section 501(c)(3) and, accordingly, is generally exempt from federal income taxes under Internal Revenue Code Section 501(a). CHC is however required to file Federal Form 990 – Return of Organization Exempt from Income Tax. This is an informational return only. Accordingly, no provision for income taxes is made in the financial statements. Management evaluated CHC's tax positions and concluded that CHC had taken no uncertain tax positions that require adjustment to the financial statements to comply with the provisions on accounting for uncertainty in income taxes.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Functional Expense Allocation

The costs of providing CHC's various programs have been summarized on a functional basis in the statements of activities on the basis of specific identification of time spent by personnel. Accordingly, certain costs have been allocated among the programs and supporting services benefited based on a reasonable estimate of time spent by relevant employees. CHC does not have any fundraising costs for the years ended September 30, 2025 or 2024.

NOTE 2. LIQUIDITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, comprise the following:

	September 30,	
	2025	2024
Cash and cash equivalents – without donor restrictions	\$ 4,909,911	\$ 8,587,338
	<u>\$ 4,909,911</u>	<u>\$ 8,587,338</u>

CHC manages its liquidity by developing annual budgets that provide sufficient funds for general expenditures in meeting its liabilities and other obligations as they become due. Cash needs for CHC are expected to be met on a monthly basis with interest income on loans and origination fees on new loans.

NOTE 3. RESTRICTED CASH

Restricted cash consists of the following as of September 30:

	2025	2024
Borrower funds held in trust (Note 7)	\$ 10,543,848	\$ 9,743,843
Pledged Cash	3,682,783	3,682,783
	<u>\$ 14,226,631</u>	<u>\$ 13,426,626</u>

NOTE 4. LOANS RECEIVABLE AND ALLOWANCE FOR CREDIT LOSSES**Portfolio Segments and Classes**

The composition of loans is summarized as follows:

	September 30,	
	2025	2024
Real estate		
Predevelopment/Bridge	\$ 17,758,134	\$ 19,553,640
Acquisition – land and buildings	86,593,903	101,584,709
Construction – 1-4 and multifamily	16,987,536	15,372,187
Permanent mortgage – multifamily rental	50,027,191	42,842,321
Permanent mortgage – 1-4 family direct serviced	669,432	799,047
Total loans, gross	172,036,196	180,151,904
Less		
Allowance for credit losses	3,359,041	4,578,488
Loans, net	<u>\$ 168,677,155</u>	<u>\$ 175,573,416</u>

Loans receivable consist of notes with interest rates ranging from 1.50% to 10.50% as of September 30, 2025. CHC's loans are primarily secured by real estate and, as such, are particularly sensitive to the valuation of the related properties.

For purposes of the disclosures required pursuant to ASC 310, the loan portfolio was disaggregated into segments and then further disaggregated into classes for certain disclosures. A portfolio segment is defined as the level at which an entity develops and documents a systematic method for determining its allowance for credit losses. There are four loan portfolio segments that include predevelopment loans, acquisition, construction loans, and permanent mortgage. A class is generally determined based on the initial measurement attribute, risk characteristic of the loan, and CHC's method for monitoring and assessing credit risk. Acquisition loans and construction loans are separate classes within the acquisition and construction segment and multifamily rental loans and 1-4 family direct serviced loans are classes within the permanent mortgage segment. The predevelopment loans are not further segregated by class.

The following describe key characteristics relevant to each of the portfolio segments.

- The predevelopment/bridge loan portfolio segment is comprised of loans which are typically unsecured or secured by other than Real Estate. These loans typically finance very early-stage real estate development expenses that are incurred during the financial / product feasibility stage. Loans are repaid either through the sponsor organization's cashflow, through the initial construction closing and when the subsidy bridge is funded. Extensions of credit are principally to sponsors who have a strong track record of completing projects as proposed and have sufficient cash on hand to repay, should the proposed project not move forward.
- The acquisition and construction loan portfolio segment includes loans to non-profit real estate developers secured by first liens for real estate acquisition of land, operating properties, and construction loans that are repaid based on the plan for the project property. Repayment in this portfolio segment is principally dependent on the refinance of the loan at the initiation or completion of a construction loan, a re-syndication/reposition of the property, or sale of the property.

NOTE 4.**LOANS RECEIVABLE AND ALLOWANCE FOR CREDIT LOSSES (CONTINUED)****Portfolio Segments and Classes (Continued)**

- The permanent mortgage portfolio segment includes loans secured by first liens on multifamily rental properties and loans secured by first and junior liens on 1-4 family residential properties. Multifamily rental properties are repaid principally from the rental income derived from the property with the borrower's income or sale of the property as a secondary source of repayment. Mortgage loans secured by 1-4 family residential properties are repaid principally from the borrower's income, with the sale of the property as a secondary source of repayment.

Credit Risk Management

The loan department, credit department and the executive management team as a whole are involved in the credit risk management process and assess the accuracy of loan risk ratings, the quality of the portfolio and the estimation of inherent credit losses in the loan portfolio. This process also assists in the prompt identification of problem credits. CHC has implemented many processes and procedures to manage the portfolios and reduce risk. All extensions of credit, depending on the amount, are approved by the Staff Loan Committee or the Loan Committee as per policy.

CHC's credit risk management process includes defined policies, accountability and routine reporting to manage credit risk in the loan portfolio segments. Credit risk management is guided by loan policies that provide for a consistent and prudent approach to underwriting and approvals of credits. All CHC originated loans are individually underwritten, risk-rated, approved, and monitored.

Responsibility and accountability for adherence to underwriting policies and accurate risk ratings lies with the credit risk management function. The risk management process focuses on managing customers who become delinquent in their payments. To ensure problem credits are identified on a timely basis, independent loan reviews are performed to assess the adversely rated credits for proper risk rating and accrual status and, if necessary, to ensure such individual credits are properly graded by management. All loans are graded on a five-point scale and reviewed during monthly Credit Quality meetings for compliance with the defined risk grade criteria.

Credit quality in the loan portfolio is measured and monitored monthly. Trends in the loan portfolio and detailed reports by product, past due status, grade and accrual status are reviewed quarterly by executive management, Loan Committee and the Board of Directors.

A description of the general characteristics of the risk grades used by CHC in its credit risk management process is as follows:

- Pass - includes loans with low or average risk qualities where the probability of default is considered low.
- Monitored - includes loans which are considered collectible at present, but have credit weaknesses which, if not addressed, could deteriorate into serious credit problems. This classification signifies the first sign of a loan problem ranging from adverse financial trends to major technical deficiencies. These loans may also be designated to identify potential weaknesses associated with large, complex or early development stage credits requiring intense supervision.
- Impaired - includes loans with credit weaknesses or collateral deficiency such that repayments as originally contemplated are no longer assured. Intensive and constructive loan supervision is necessary to effect collection. The credit risk in this situation relates to the possibility of loss of principal or interest. An impairment analysis is performed and a reserve set aside as appropriate.

NOTE 4. LOANS RECEIVABLE AND ALLOWANCE FOR CREDIT LOSSES (CONTINUED)**Credit Risk Management (Continued)**

The following table summarizes the risk category of CHC's loan portfolio by class as of September 30, 2025:

	Pass	Monitored	Impaired	Total
Real estate				
Predevelopment/Bridge	\$ 17,758,134	\$ -	\$ -	\$ 17,758,134
Acquisition – land and buildings	80,593,903	6,000,000	-	86,593,903
Construction – 1-4 and multifamily	16,987,536	-	-	16,987,536
Permanent mortgage – multifamily rental	50,027,191	-	-	50,027,191
Permanent mortgage – 1-4 family direct serviced	669,432	-	-	669,432
Total	<u>\$ 166,036,196</u>	<u>\$ 6,000,000</u>	<u>\$ -</u>	<u>\$ 172,036,196</u>

The following table summarizes the risk category of CHC's loan portfolio by class as of September 30, 2024:

	Pass	Monitored	Impaired	Total
Real estate				
Predevelopment/Bridge	\$ 19,553,640	\$ -	\$ -	\$ 19,553,640
Acquisition – land and buildings	89,209,709	12,375,000	-	101,584,709
Construction – 1-4 and multifamily	15,372,187	-	-	15,372,187
Permanent mortgage – multifamily rental	42,842,321	-	-	42,842,321
Permanent mortgage – 1-4 family direct serviced	799,047	-	-	799,047
Total	<u>\$ 167,776,904</u>	<u>\$ 12,375,000</u>	<u>\$ -</u>	<u>\$ 180,151,904</u>

Collateral Dependent Loans

CHC classifies a loan as collateral dependent when the borrower is experiencing financial difficulty, and expected repayment is to be provided substantially through the operation or sale of collateral. The following table summarizes collateral dependent loans, which are individually evaluated to determine expected credit losses, as of September 30, 2025 and 2024, under CECL:

	Real Estate	Other	Total	ACL
September 30, 2025				
Real estate				
Predevelopment/Bridge	\$ -	\$ -	\$ -	\$ -
Acquisition – land and buildings	6,000,000	-	6,000,000	600,000
Construction – 1-4 and multifamily	-	-	-	-
Permanent mortgage – multifamily rental	-	-	-	-
Permanent mortgage – 1-4 family direct serviced	-	-	-	-
Total	<u>\$ 6,000,000</u>	<u>\$ -</u>	<u>\$ 6,000,000</u>	<u>\$ 600,000</u>

September 30, 2024

Real estate				
Predevelopment/Bridge	\$ -	\$ -	\$ -	\$ -
Acquisition – land and buildings	12,375,000	-	12,375,000	1,238,000
Construction – 1-4 and multifamily	-	-	-	-
Permanent mortgage – multifamily rental	-	-	-	-
Permanent mortgage – 1-4 family direct serviced	21,023	-	21,023	21,023
Total	<u>\$ 12,396,023</u>	<u>\$ -</u>	<u>\$ 12,396,023</u>	<u>\$ 1,259,023</u>

NOTE 4. LOANS RECEIVABLE AND ALLOWANCE FOR CREDIT LOSSES (CONTINUED)**Past Due Loans**

A loan is considered past due if any required principal and interest payments have not been received as of the date such payments were required to be made under the terms of the loan agreement. Generally, accrual of interest is discontinued on loans that become past due 90 days or more and for which collateral is inadequate to cover principal and interest, or immediately if management believes, after considering economic and business conditions and collection efforts, that a borrower's financial condition is such that collection is doubtful.

The following table presents the aging of the recorded investment in loans by class as of September 30, 2025:

	Past Due Status (Accruing Loans)					Total
	Current	30-89 Days	90+ Days	Total Past Due	Non-Accrual	
Real estate						
Predevelopment/Bridge	\$ 17,758,134	\$ -	\$ -	\$ -	\$ -	\$ 17,758,134
Acquisition – land and buildings	80,593,903	-	6,000,000	6,000,000	-	86,593,903
Construction – 1-4 and multifamily	16,987,536	-	-	-	-	16,987,536
Permanent mortgage – multifamily	50,027,191	-	-	-	-	50,027,191
Permanent mortgage – 1-4 family direct serviced	669,432	-	-	-	-	669,432
Total	<u>\$ 166,036,196</u>	<u>\$ -</u>	<u>\$ 6,000,000</u>	<u>\$ 6,000,000</u>	<u>\$ -</u>	<u>\$ 172,036,196</u>

The following table presents the aging of the recorded investment in loans by class as of September 30, 2024:

	Past Due Status (Accruing Loans)					Total
	Current	30-89 Days	90+ Days	Total Past Due	Non-Accrual	
Real estate						
Predevelopment/Bridge	\$ 19,553,640	\$ -	\$ -	\$ -	\$ -	\$ 19,553,640
Acquisition – land and buildings	101,584,709	-	-	-	-	101,584,709
Construction – 1-4 and multifamily	15,372,187	-	-	-	-	15,372,187
Permanent mortgage – multifamily	42,842,321	-	-	-	-	42,842,321
Permanent mortgage – 1-4 family direct serviced	778,024	21,023	-	21,023	-	799,047
Total	<u>\$ 180,130,881</u>	<u>\$ 21,023</u>	<u>\$ -</u>	<u>\$ 21,023</u>	<u>\$ -</u>	<u>\$ 180,151,904</u>

Allowance for Credit Losses

As described in *Note 1. Summary of Significant Accounting Policies*, CHC adopted ASU 2016-13 on October 1, 2023, which replaced the existing incurred loss methodology with an expected credit loss methodology (referred to as CECL). Under the incurred loss methodology, reserves for credit losses were recognized only when the losses were probable or had been incurred; under CECL, CHC is required to recognize the full amount of expected credit losses for the lifetime of the loan, based on historical experience, current conditions and reasonable and supportable forecasts. Allocation of a portion of the allowance to one category of loans does not preclude its availability to absorb losses in other categories.

NOTE 4.**LOANS RECEIVABLE AND ALLOWANCE FOR CREDIT LOSSES (CONTINUED)****Allowance for Credit Losses (Continued)**

The following table details activity in the allowance for credit losses by portfolio segment for the years ended September 30, 2025 and 2024:

	Predevelopment/ Bridge	Acquisition and Construction	Permanent Mortgage	Total
September 30, 2025				
Allowance for credit losses				
Beginning balance	\$ 373,474	\$ 3,080,579	\$ 1,124,435	\$ 4,578,488
Provision for credit losses	(104,473)	(1,067,142)	(53,039)	(1,224,654)
Charge-offs	-	-	-	-
Recoveries	-	-	5,207	5,207
Ending balance	<u>\$ 269,001</u>	<u>\$ 2,013,437</u>	<u>\$ 1,076,603</u>	<u>\$ 3,359,041</u>
September 30, 2024				
Allowance for credit losses				
Beginning balance	\$ 167,301	\$ 2,421,831	\$ 712,290	\$ 3,301,422
Provision for credit losses	206,173	658,748	442,158	1,307,079
Charge-offs	-	-	(47,571)	(47,571)
Recoveries	-	-	17,558	17,558
Ending balance	<u>\$ 373,474</u>	<u>\$ 3,080,579</u>	<u>\$ 1,124,435</u>	<u>\$ 4,578,488</u>

Modifications to Borrowers Experiencing Financial Difficulty

On October 1, 2023, CHC adopted ASU 2022-02, Financial Instruments - Credit Losses (Topic 326): Troubled Debt Restructurings and Vintage Disclosures, and this standard eliminated the previous accounting guidance for troubled debt restructurings and added additional disclosure requirements for gross charge offs by year of origination. It also prescribes guidance for reporting modifications of loans to borrowers experiencing financial difficulty.

From time to time, CHC may modify certain loans to borrowers who are experiencing financial difficulty. In some cases, these modifications may result in new loans. Loan modifications to borrowers experiencing financial difficulty may be in the form of a principal forgiveness, an interest rate reduction, a payment delay, a term extension, or a combination thereof, among other things.

During the years ended September 30, 2025 and 2024, CHC did not modify any loans.

Maturities

Future maturities of loans receivable within the next five years and thereafter are as follows:

Fiscal Year Ending September 30,	
2026	\$ 49,819,770
2027	38,283,258
2028	18,658,917
2029	27,863,921
2030	8,559,000
Thereafter	28,851,330
	<u>\$ 172,036,196</u>

NOTE 5. PREMISES AND EQUIPMENT

Premises and equipment are summarized as follows:

	September 30,	
	2025	2024
Land and improvements	\$ 425,000	\$ 425,000
Building and improvements	666,694	666,694
Furniture and equipment	189,365	192,920
	1,281,059	1,284,614
Less accumulated depreciation	(318,452)	(312,254)
	<u>\$ 962,607</u>	<u>\$ 972,360</u>

Depreciation expense totaled \$44,369 and \$26,117 for the years ended September 30, 2025 and 2024, respectively.

NOTE 6. BORROWER FUNDS HELD IN TRUST

As a requirement for certain interim and multifamily permanent mortgage loans extended to borrowers, CHC may hold an operating/debt service reserve, including escrow reserves, and a replacement reserve in trust. The reserves are required to be funded at certain levels based on the provisions of the security agreement between the borrower and CHC. As a requirement for single-family mortgages to borrowers, CHC will typically require and hold escrow reserves for insurance and property taxes where CHC is the first lien holder.

NOTE 7. LONG TERM DEBT

A summary of notes payable follows:

	September 30,	
	2025	2024
JP Morgan Chase Bank Inc., multi-bank syndicated revolving line of credit facility dated September 9, 2021, in the amount of \$85,000,000 with current commitments by the participants in the syndication. Interest is due on the fifth business day of each month. The line of credit period ends on September 9, 2027, and any funds advanced on that date will convert to a three-year term loan due on September 9, 2030. However, the credit facility may be extended for an additional twelve months with conversion to a three-year term loan at the end of such line of credit period upon request from the Borrower. Accrued interest was \$164,890 and \$205,551 as of September 30, 2025, and 2024, and is included in interest payable. Current participants in the syndication include JP Morgan Chase, Charles Schwab, US Bank, Wells Fargo, and Deutsche Bank.	\$ 17,000,000	\$ 34,000,000
First Citizens Bank and Trust, dated December 8, 2023, in the original amount of \$2,500,000, payment of interest accrued is due annually with any outstanding principal plus accrued and unpaid interest due upon maturity. Principal is due on December 8, 2029, unless renewed as per terms of the agreement. The loan is unsecured. Accrued interest was \$37,500 and \$40,833 at September 30, 2025 and 2024, and is included in interest payable.	2,500,000	2,500,000

NOTE 7. LONG TERM DEBT (CONTINUED)

	September 30,	
	2025	2024
Wells Fargo Bank NA Patient Capital investment dated 5th September 2023 in the original amount of \$5,000,000, payment of interest is due quarterly with eight quarterly principal payments of \$625,000 due beginning October 1, 2033 and is unsecured. Accrued interest was \$25,000 and \$25,000 as of September 30, 2025, and 2024, respectively and is included in interest payable.	5,000,000	5,000,000
BBVA USA (Now PNC Bank), Equity Equivalent Investment dated April 10, 2020, in the amount of \$3,000,000, payment of interest accrued is due quarterly with principal due at maturity. The loan matures on July 1, 2030, and is unsecured. Accrued interest was \$20,625 and \$0 as of September 30, 2025, and 2024, respectively.	3,000,000	3,000,000
BANC of America Community Development Corporation, term loan dated August 24th, 2021, in the amount of \$10,000,000. Payment of interest accrued is due quarterly with principal due at maturity. \$3 million each matures on August 24, 2025, and 2026 and \$4 million on August 24, 2027, and is unsecured. Accrued interest was \$0 and \$0 as of September 30, 2025, and 2024, and is included in interest payable.	7,000,000	10,000,000
HSBC Bank, revolving line of credit dated September 15, 2021, and renewed on July 28, 2025, in the amount of \$10,000,000, payment of interest accrued is due quarterly, with principal due at maturity. The loan matures on August 31, 2029, which may be extended upon request from the Borrower and is unsecured. Accrued interest was \$24,167 and \$25,000 as of September 30, 2025, and 2024, respectively, and is included in interest payable.	\$ 10,000,000	\$ 10,000,000
CommonSpirit Health Operating Investment Pool, LLC, loan in the amount of \$3,000,000, dated October 15, 2021. Payments of interest are due semiannually. Principal is due on October 15, 2036. The loan is unsecured. Accrued interest was \$32,667 and \$0 as of September 30, 2025 and 2024, respectively.	3,000,000	3,000,000
CareSource Ohio, Inc. loan in the amount of \$5,000,000 dated December 21, 2021. Payments of interest are due quarterly, and principal is due on December 21, 2031. The loan is unsecured. Accrued interest was \$0 as of September 30, 2025 and 2024, respectively.	5,000,000	5,000,000
CareSource Georgia Co., loan in the amount of \$2,500,000, dated December 21, 2021. Payments of interest are due quarterly, and principal is due on December 21, 2031. The loan is unsecured. Accrued interest was \$0 as of September 30, 2025 and 2024, respectively.	2,500,000	2,500,000
Bon Secours Mercy Health, Inc loan in the amount of \$10,000,000 dated November 1 st , 2022. Payments of interest are due semi-annually, and principal is due on November 1, 2032. The loan is unsecured. Accrued interest was \$62,466 and \$62,877 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	10,000,000	10,000,000

NOTE 7. LONG TERM DEBT (CONTINUED)

	September 30,	
	2025	2024
FHLB #1, loan in the amount of \$1,500,000, dated March 3, 2022. Payments of interest are due quarterly, and principal is due on March 3, 2032. The loan is secured. Accrued interest was \$2,906 and \$2,906 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	1,500,000	1,500,000
FHLB #2, loan in the amount of \$2,500,000, dated March 3, 2022. Payments of interest are due quarterly, and principal is due on March 3, 2037. The loan is secured. Accrued interest was \$5,601 and \$5,601 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	2,500,000	2,500,000
FHLB #3, loan in the amount of \$3,600,000 dated February 1, 2023. Payments of interest are due quarterly, and principal is due on February 1, 2038. The loan is secured. Accrued interest was \$16,229 and \$16,229 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	\$ 3,600,000	\$ 3,600,000
FHLB #4, loan in the amount of \$3,323,919 dated March 1, 2023. Payments of interest are due quarterly, and principal is due on March 1, 2041. The loan is secured. Accrued interest was \$7,556 and \$7,296 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	3,323,919	3,323,919
FHLB #5, loan in the amount of \$3,150,000 dated April 3, 2023. Payments of principle and interest are due monthly, and remaining principal is due on April 5, 2038. The loan is secured. Accrued interest was \$9,527 and \$9,873 as of September 30, 2025 and 2024, respectively, and is included in interest payable.	2,896,250	3,001,250
Laura and John Arnold Foundation loan in the amount \$17,000,000 dated February 13, 2023. Principal is due on maturity on November 13, 2030. The loan is unsecured. Accrued interest was \$0 as of September 30, 2025 and 2024, respectively.	17,000,000	17,000,000
PNC Community Development Company, LLC, loan in the amount of \$7,000,000 dated July 26, 2022. Payments of interest are due quarterly, and principal is due on July 26, 2029. The loan is unsecured. Accrued interest was \$63,506 and \$0 as of September 30, 2025 and 2024, respectively.	7,000,000	7,000,000
Total	<u>\$ 102,820,169</u>	<u>\$ 122,925,169</u>

NOTE 7. LONG TERM DEBT (CONTINUED)

Scheduled principal repayments on notes payable for the next five years and thereafter are as follows:

	Fiscal Year Ending September 30,
2026	\$ 3,105,000
2027	4,105,000
2028	105,000
2029	34,105,000
2030	20,105,000
Thereafter	41,295,169
	<u>\$ 102,820,169</u>

NOTE 8. PARTICIPATION IN U.S. TREASURY PROGRAMS**New Market Tax Credits**

On September 1, 2021, September 19, 2023, and September 22, 2023 CHC was awarded \$30,000,000, \$40,000,000, and \$25,000,000 allocations respectively, of New Market Tax Credits from the Community Development Financial Institution (CDFI) Fund administered by the U.S. Department of Treasury. CHC allocated these tax credits into qualified projects in various states. CHC has six non-consolidated subsidiaries (CHC owns 0.01% of the entities) for the implementation of the New Market Tax Credits Award as of September 30, 2025.

Community Development Financial Institution Income

On February 5, 2025, CHC received an award for \$800,000 from the Financial Assistance Program administered by the CDFI Fund. The award was to be used for loan originations by CHC per targets mentioned in the grant agreement.

NOTE 9**NET ASSETS WITH DONOR RESTRICTIONS**

Net assets with donor restrictions consist of the following:

	September 30,	
	2025	2024
Subject to passage of time:		
U.S. Department of Treasury CDFI Capital Magnet Fund ⁽¹⁾	\$ 12,647,678	\$ 12,437,678
	<u>\$ 12,647,678</u>	<u>\$ 12,437,678</u>
Not subject to appropriation or expenditure:		
2010 NeighborWorks® America capital grant ⁽²⁾	\$ 973,252	\$ 973,252
2011 NeighborWorks® America capital grant ⁽²⁾	2,000,000	2,000,000
2012 NeighborWorks® America capital grant ⁽²⁾	2,000,000	2,000,000
2012 NeighborWorks® America capital grant ⁽²⁾	743,134	743,134
2013 NeighborWorks® America capital grant ⁽²⁾	2,100,000	2,100,000
2014 NeighborWorks® America capital grant ⁽²⁾	2,050,000	2,050,000
2015 NeighborWorks® America capital grant ⁽²⁾	2,000,000	2,000,000
2016 NeighborWorks® America capital grant ⁽²⁾	2,000,000	2,000,000
	<u>13,866,386</u>	<u>13,866,386</u>
Total net assets with donor restrictions	<u>\$ 26,514,064</u>	<u>\$ 26,304,064</u>

- (1) Grant funds are provided through the CDFI Program's Capital Magnet Fund, Financial Assistance program and Equitable Recovery program. Under Capital Magnet Fund program funds are designated for the origination of end borrower loans for the purchase of existing multifamily properties, and the rehab and/or new construction associated with those acquisitions. Funds are two-fold in purpose: 1) leverage private sector capital on a 10:1 ratio; and 2) as loan principal, interest rate offsets and loan loss reserves. Under Financial Assistance program the funds are used to increase lending as per targets set up in the grant agreement. Under Equitable Recovery program funds are used in ERP eligible geographies.
- (2) These grant funds are to be used for the purpose of being loaned as end borrower loans, recourse loan purchases, capital, guarantees, credit enhancements, interest rate write downs or for use as a loan loss reserve all in accordance with CHC's business plan and mission. In accordance with the master investment agreement, which was renewed during 2020 for the period from December 17, 2020 until the parties agree to terminate the agreement, these funds are subordinated to investments in CHC made by third party investors and can also be used to absorb loan losses. The funds are included in loans receivable in the Statements of Financial Position.

NOTE 10.**NET ASSETS RELEASED FROM RESTRICTIONS**

There were \$590,000 and \$2,476,265 net assets released from restrictions during the years ended September 30, 2025 and 2024, respectively, by fulfilling use requirements and thereby satisfying the restrictions specified by the donors.

NOTE 11.**EMPLOYEE BENEFIT PLANS**

CHC sponsors a 401(k) retirement plan covering substantially all employees subject to certain age and minimum service requirements. Contributions to the plan charged to expense totaled \$171,644 and \$158,388 for the years ended September 30, 2025 and 2024, respectively.

NOTE 12. COMMITMENTS AND CONTINGENCIES**Concentrations of Credit Risk**

Financial instruments that potentially subject CHC to concentrations of credit risk consist principally of cash and cash equivalents and loans. CHC places its cash and cash equivalents and restricted cash with several high-credit quality financial institutions, all of which are “well-capitalized” under federal regulatory standards. Cash balances are federally insured up to FDIC limits based on the type of account. CHC maintains its cash in bank deposit accounts which, at times, may exceed federally insured limits. CHC has not experienced any losses in such accounts. CHC believes it is not exposed to any significant credit risk on cash.

To limit CHC’s exposure to concentrations of credit risk within the loan portfolio, CHC maintains internal lending policies that restrict the amount of loan(s) to one borrower or a group of related borrowers.

At September 30, 2025 and 2024, CHC has commitments to fund approximately \$82,674,667 and \$40,876,806 in loans, respectively.

CHC maintains an allowance for off-balance sheet credit exposures such as unfunded balances for existing lines of credit and commitments to extend future credit when there is a contractual obligation to extend credit and when this extension of credit is not unconditionally cancellable. The allowance for off-balance sheet credit exposures is adjusted as a provision for credit losses expense. The estimate includes consideration of the likelihood that funding will occur, which is based on historical funding information, and an estimate of expected credit losses on commitments expected to be funded over its estimated life, which are the same loss rates that are used in computing the allowance for credit losses on loans. The allowance for credit losses for unfunded commitments is separately classified on the statement of financial position.

The following tables present the balance and activity in the allowance for credit losses for unfunded commitments for the years ended September 30, 2025 and 2024.

	Allowance for Credit Losses - Unfunded Commitments	
September 30, 2025		
Beginning balance	\$	354,258
Provision (credit) for credit losses		460,589
Ending balance	\$	814,847
September 30, 2024		
Beginning balance	\$	-
Provision for credit losses		354,258
Ending balance	\$	354,258

NOTE 13. FAIR VALUES OF ASSETS AND LIABILITIES

Determination of Fair Value

CHC uses fair value measurements to record fair value adjustments to certain assets and liabilities and to determine fair value disclosures. In accordance with the Fair Value Measurements and Disclosures topic (ASC 820), the fair value of a financial instrument is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is best determined based upon quoted market prices. However, in many instances, there are no quoted market prices for CHC's various financial instruments. In cases where quoted market prices are not available, fair values are based on estimates using present value or other valuation techniques. Those techniques are significantly affected by the assumptions used, including the discount rate and estimates of future cash flows. Accordingly, the fair value estimates may not be realized in an immediate settlement of the instrument.

The fair value guidance provides a consistent definition of fair value, which focuses on exit price in an orderly transaction (that is, not a forced liquidation or distressed sale) between market participants at the measurement date under current market conditions. If there has been a significant decrease in the volume and level of activity for the asset or liability, a change in valuation technique or the use of multiple valuation techniques may be appropriate. In such instances, determining the price at which willing market participants would transact at the measurement date under current market conditions depends on the facts and circumstances and requires the use of significant judgment. The fair value is a reasonable point within the range that is most representative of fair value under current market conditions.

Fair Value Hierarchy

In accordance with this guidance, CHC groups its financial assets and financial liabilities generally measured at fair value in three levels, based on the markets in which the assets and liabilities are traded and the reliability of the assumptions used to determine fair value.

Level 1 - Valuation is based on quoted prices in active markets for identical assets or liabilities that the reporting entity has the ability to access at the measurement date. Level 1 assets and liabilities generally include debt and equity securities that are traded in an active exchange market. Valuations are obtained from readily available pricing sources for market transactions involving identical assets or liabilities.

Level 2 - Valuation is based on inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The valuation may be based on quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the asset or liability.

Level 3 - Valuation is based on unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities. Level 3 assets and liabilities include financial instruments whose value is determined using pricing models, discounted cash flow methodologies, or similar techniques, as well as instruments for which determination of fair value requires significant management judgment or estimation.

A financial instrument's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

NOTE 13. FAIR VALUES OF ASSETS AND LIABILITIES (CONTINUED)**Assets Measured at Fair Value on a Nonrecurring Basis**

Under certain circumstances CHC makes adjustments to fair value for assets although they are not measured at fair value on a recurring basis. The following table presents the financial instruments carried on the statements of financial position by caption and by level in the fair value hierarchy for which a nonrecurring change in fair value has been recorded:

		Fair Value Measurements Using			
		Quoted Prices In Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Gains (Losses)
September 30, 2025					
Individually evaluated loans	\$	-	\$ -	\$ 5,400,000	\$ (600,000)
September 30, 2024					
Individually evaluated loans	\$	-	\$ -	\$ 11,137,000	\$ (1,259,023)

Nonrecurring fair value adjustments to impaired loans reflect full or partial write-downs or an allocation of the allowance for credit losses that are based on the loan's observable market price or current appraised value of the collateral. Loans subjected to nonrecurring fair value adjustments based on the current appraised value of the collateral may be classified as Level 2 or Level 3 depending on the type of asset and the inputs to the valuation. When appraisals are used to determine impairment, and these appraisals require significant adjustments to market-based valuation inputs or apply an income approach based on unobservable cash flows to measure fair value, the related loans subjected to nonrecurring fair value adjustments are typically classified as Level 3 due to the fact that Level 3 inputs are significant to the fair value measurement.

Quantitative Disclosures for Level 3 Fair Value Measurements

For Level 3 assets measured at fair value on a non-recurring basis, the significant unobservable inputs used in the fair value measurements are presented below.

	Carrying Amount	Valuation Technique	Significant Unobservable Input	Weighted Average of Input
September 30, 2025				
Nonrecurring:				
Individually evaluated loans	\$ 5,400,000	Appraisal	Appraisal discounts (%)	20-30 %
September 30, 2024				
Nonrecurring:				
Individually evaluated loans	\$ 11,137,000	Appraisal	Appraisal discounts (%)	20-30 %

NOTE 14. SUBSEQUENT EVENTS

The Financial Accounting Standards Board's Accounting Standards Update (ASU) No. 2010-09, *Subsequent Events (Topic 855)*, requires disclosure of events that occur after fiscal year-end but before financial statement issuance. Management has evaluated all transactions, events, and circumstances for consideration or disclosure through December 15, 2025, the date these financial statements were available to be issued and has reflected or disclosed those items within the financial statements and related footnotes as deemed appropriate.

SUPPLEMENTARY INFORMATION

COMMUNITY HOUSING CAPITAL, INC.

SCHEDULE OF FINANCIAL POSITION BY TYPE SEPTEMBER 30, 2025

	Without Donor Restrictions	With Donor Restrictions	Total
ASSETS			
Total cash	\$ 24,815,426	\$ -	\$ 24,815,426
Equity securities	817,600	-	817,600
Receivables:			
Loans, net	142,163,091	26,514,064	168,677,155
Interest	716,067	-	716,067
Origination and other fees	485,849	-	485,849
Grants	45,000	-	45,000
Premises and equipment, net	962,607	-	962,607
Prepaid expenses	69,423	-	69,423
Deferred debt costs, net	111,529	-	111,529
Total assets	<u>\$ 170,186,592</u>	<u>\$ 26,514,064</u>	<u>\$ 196,700,656</u>
LIABILITIES AND NET ASSETS			
Liabilities:			
Accounts payable and accrued expenses	\$ 5,071,545	\$ -	\$ 5,071,545
Interest payable	506,113	-	506,113
Borrower funds held in trust	10,543,848	-	10,543,848
Notes payable	102,820,169	-	102,820,169
Allowance for credit losses for unfunded commitments	814,847	-	814,847
Total liabilities	<u>119,756,522</u>	<u>-</u>	<u>119,756,522</u>
Net assets:			
Without donor restrictions	50,430,070	-	50,430,070
With donor restrictions	-	26,514,064	26,514,064
Total net assets	<u>50,430,070</u>	<u>26,514,064</u>	<u>76,944,134</u>
Total liabilities and net assets	<u>\$ 170,186,592</u>	<u>\$ 26,514,064</u>	<u>\$ 196,700,656</u>

COMMUNITY HOUSING CAPITAL, INC.

SCHEDULE OF ACTIVITIES BY TYPE FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Without Donor		Total		
	Restrictions	Without Donor	Without Donor	With Donor	
	Expendable	Restrictions	Without Donor	Restrictions	Total
	Grant	Other	Restrictions	Restrictions	
Revenues and support:					
Interest income	\$ -	\$ 12,259,376	\$ 12,259,376	\$ -	\$ 12,259,376
Loan origination fees and other income	-	1,185,863	1,185,863	-	1,185,863
Contributed grant revenue	-	2,500,000	2,500,000	800,000	3,300,000
New market tax credit revenue	-	1,000,000	1,000,000	-	1,000,000
Miscellaneous income	-	15,988	15,988	-	15,988
Net assets released from restriction	-	590,000	590,000	(590,000)	-
Total revenues and support	-	17,551,227	17,551,227	210,000	17,761,227
Expenses:					
Personnel	-	4,016,321	4,016,321	-	4,016,321
Consultants and legal services	-	401,290	401,290	-	401,290
Travel and occupancy	-	237,581	237,581	-	237,581
Advertising and promotion	-	129,616	129,616	-	129,616
Conferences and meetings	-	44,784	44,784	-	44,784
Miscellaneous	-	1,409	1,409	-	1,409
Interest	-	3,793,906	3,793,906	-	3,793,906
Provision (credit) for credit losses	-	(764,066)	(764,066)	-	(764,066)
Foreclosed properties expense	-	1,301	1,301	-	1,301
Management and general	-	366,682	366,682	-	366,682
Audit and accounting	-	107,742	107,742	-	107,742
Depreciation	-	44,369	44,369	-	44,369
Total expenses	-	8,380,935	8,380,935	-	8,380,935
Change in net assets	-	9,170,292	9,170,292	210,000	9,380,292
Net assets, beginning of year	-	41,259,778	41,259,778	26,304,064	67,563,842
Net assets, end of year	\$ -	\$ 50,430,070	\$ 50,430,070	\$ 26,514,064	\$ 76,944,134



**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING
AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF
FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS**

**To the Board of Directors
Community Housing Capital, Inc.
Decatur, Georgia**

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Community Housing Capital, Inc., a nonprofit public benefit corporation, which comprise the statement of financial position as of September 30, 2025, and the related statements of activities and cash flows for the year then ended, and the related notes to the financial statements, and have issued our report thereon dated December 15, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Community Housing Capital, Inc.'s internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Community Housing Capital, Inc.'s internal control. Accordingly, we do not express an opinion on the effectiveness of Community Housing Capital, Inc.'s internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Community Housing Capital, Inc. financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the organization's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Mauldin & Jenkins, LLC

Atlanta, Georgia
December 15, 2025



**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH MAJOR
PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE
REQUIRED BY THE UNIFORM GUIDANCE**

**To the Board of Directors
Community Housing Capital, Inc.
Decatur, Georgia**

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Community Housing Capital, Inc.'s compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of Community Housing Capital, Inc.'s major federal programs for the year ended September 30, 2025. Community Housing Capital, Inc.'s major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Community Housing Capital, Inc. complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended September 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Community Housing Capital, Inc. and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Community Housing Capital, Inc.'s compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to Community Housing Capital, Inc.'s federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Community Housing Capital, Inc.'s compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Community Housing Capital, Inc.'s compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Community Housing Capital, Inc.'s compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Community Housing Capital, Inc.'s internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Community Housing Capital, Inc.'s internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Mauldin & Jenkins, LLC

Atlanta, Georgia
December 15, 2025

COMMUNITY HOUSING CAPITAL, INC.
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED SEPTEMBER 30, 2025

<i>Federal Grantor/Pass-Through Grantor/ Program or Cluster Title</i>	<i>Assistance Listing Number</i>	<i>Authorized Disbursements/ Expenditures</i>
U.S. Department of the Treasury:		
Community Development Financial Institutions Program		
Direct-funded awards	21.020	\$ 1,440,000
Direct-funded awards	21.011	6,250,000
Equitable recovery program	21.033	4,957,678
NeighborWorks® America:		
Capital Grant awards made in current year with continuing compliance:		
Direct-funded awards	21.020	2,500,000
Capital Grant awards made in prior years with continuing compliance:		
Direct-funded awards	21.020	<u>33,666,387</u>
TOTAL FEDERAL AWARDS		<u>\$ 48,814,065</u>

COMMUNITY HOUSING CAPITAL, INC.
NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED SEPTEMBER 30, 2025

NOTE 1. BASIS OF PRESENTATION

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal grant activity of Community Housing Capital, Inc. under programs for the federal government for the year ended September 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of CHC, it is not intended to and does not present the financial position, changes in net assets, or cash flows of CHC.

NOTE 2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

NOTE 3. PRIOR YEARS' EXPENDITURES

The accompanying schedule of expenditures of federal awards includes \$33,666,387 in expenditures from prior years for which continuing compliance is required.

NOTE 4. EXPENDITURES RELEASED FROM RESTRICTIONS

As of September 30, 2025, capital grant awards made in prior years by NeighborWorks® America with continuing compliance that have been removed in the fiscal year that CHC fulfilled the use of the requirements and thereby satisfied the restrictions had a cumulative total to date of \$590,000.

NOTE 5. INDIRECT COST RATE

CHC has elected not to use the 15-percent de minimis indirect cost rate allowed under the Uniform Guidance.

COMMUNITY HOUSING CAPITAL, INC.
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED SEPTEMBER 30, 2025

Section I - Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements

Audited were prepared in accordance with GAAP:

Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

___ Yes X No

Significant deficiency(ies) identified that are not considered
to be material weakness(es)?

___ Yes X None Reported

Noncompliance material to financial statements noted?

___ Yes X No

Federal Awards

Internal control over major programs:

Material weakness(es) identified?

___ Yes X No

Significant deficiency(ies) identified that are not considered
to be material weakness(es)?

___ Yes X None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

Any audit findings disclosed that are required to be reported in
accordance with 2 CFR section 200.516(a)?

___ Yes X No

Identification of major programs

Name of Federal Program or Cluster

Assistance Listing Number #21.020

U.S. Department of the Treasury –
Community Development Financial
Institutions Program

NeighborWorks® America

Dollar threshold used to distinguish between
Type A and Type B programs:

\$1,464,422

Auditee qualified as low-risk auditee?

___ Yes X No

Section II - Financial Statement Findings

None Reported

Section III - Federal Award Findings and Questioned Costs

None Reported

COMMUNITY HOUSING CAPITAL, INC.
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED SEPTEMBER 30, 2025

I. FINANCIAL STATEMENT FINDINGS:

NONE REPORTED

II. FINDINGS AND QUESTIONED COSTS FOR FEDERAL AWARDS

NONE REPORTED